Cognitive Decline and Financial Behavior

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Introduction

Recent research indicates that impaired financial decision-making begins as early as six years before a clinical dementia diagnosis, contributing to significantly greater wealth loss among individuals with future dementia compared to their cognitively healthy peers (Li et al., 2026). Dementia is also frequently underdiagnosed, particularly among socially disadvantaged populations. This underdiagnosis can worsen dementia-related outcomes, including the erosion of financial decision-making capacity that accompanies cognitive decline. However, it remains unclear which specific categories of financial behavior are associated with these early declines. Identifying financial behaviors of pre-dementia patients is essential to understanding how dementia affects household wealth and to informing preventative strategies against dementia-related financial loss.

Methods

Data Source:

- RAND American Life Panel, a nationally representative online panel
- They fielded questions from the FINRA NFCS (National Financial Capability Survey) in 2012 and 2018
- 2094 respondents in 2012 and 1233 respondents in 2018

Variables:

- Type of behaviors investigated:
  - Credit card usage/payment
  - High-cost borrowing
- Cognitive ability was measured by response to 3 financial literacy questions which show high correlation with cognitive ability (Lusardi and Mitchell 2011 a, b)
- Respondents were determined to be cognitively declining (likely pre-dementia) if their score of these three questions declined between 2012 and 2018 waves

Analysis:

- Compared demographics and financial behavior of people whose financial literacy scores:
  - Declined between waves vs unchanged/improved
  - Dropped between waves vs remained

Figure 1.

Decline in Financial Literacy Score for Older vs Younger Groups (2012 vs 2018)

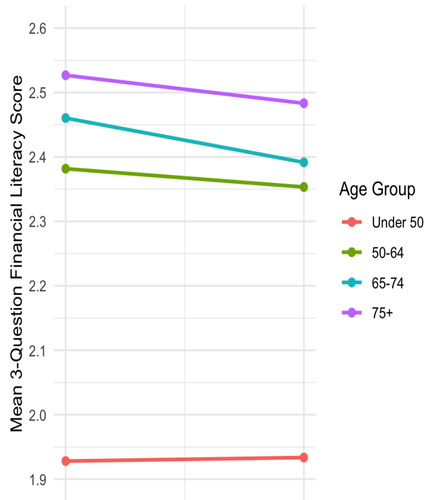


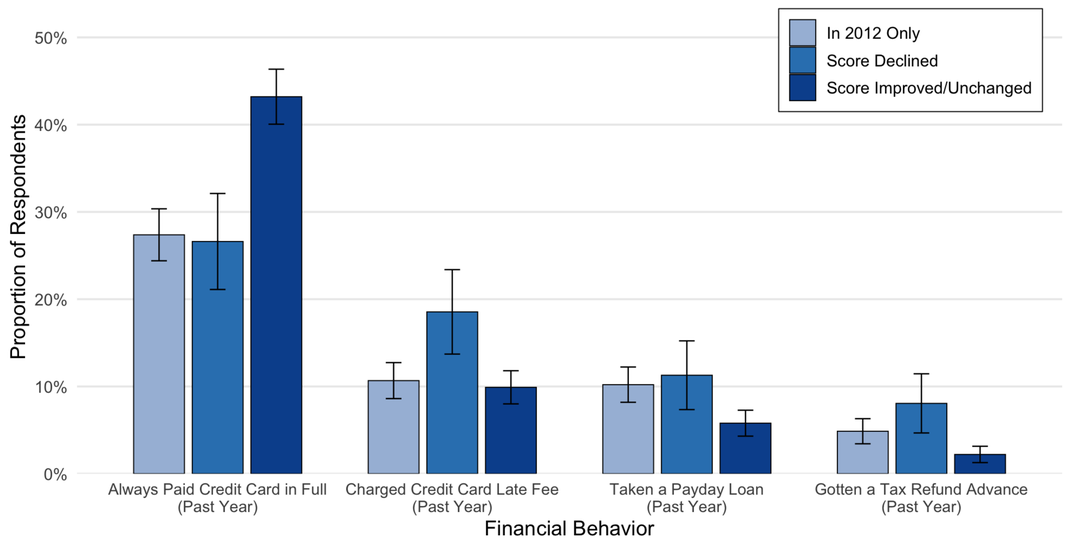
Table 1.

Characteristics by group based on financial literacy score changes (2012 vs. 2018)

CATEGORY	GROUP BASED ON FINANCIAL LITERACY SCORE RESULTS (2012 VS 2018) IN 2012 ONLY (%)	DECLINED (%)	IMPROVED/UNCHANGED (%)
GENDER (REF: MALE) — N: DROPPED = 862, DECLINED = 248, IMPROVED/UNCHANGED = 949			
Female	58%	65.7%	56.1%
RACE (REF: WHITE/CAUCASIAN) — N: DROPPED = 862, DECLINED = 248, IMPROVED/UNCHANGED = 949			
Black/African American	13.2%	13.3%	8.3%
Asian/Pacific Islander/Native American/Other	13.2%	7.3%	7.1%
HIGHEST ED (REF: HIGH SCHOOL DIPLOMA) — N: DROPPED = 862, DECLINED = 248, IMPROVED/UNCHANGED = 949			
Less than High School	7.8%	5.6%	2%
Some College - No Bachelor's	41.2%	37.9%	34.1%
Bachelor's Degree or Higher	31.3%	33.5%	51.1%
FAMILY INCOME (REF: LESS THAN 30,000) — N: DROPPED = 861, DECLINED = 248, IMPROVED/UNCHANGED = 949			
30,000 - 50,000	23.2%	26.6%	18.4%
50,000 - 75,000	17.5%	23.4%	22.6%
75,000+	22.6%	19.4%	37%
AGE GROUP (REF: UNDER 50) — N: DROPPED = 862, DECLINED = 248, IMPROVED/UNCHANGED = 949			
50-64	24.7%	35.5%	41.2%
65-74	12.2%	14.1%	14.6%
75+	6.5%	3.6%	3.1%
MARITAL STATUS (REF: MARRIED) — N: DROPPED = 840, DECLINED = 248, IMPROVED/UNCHANGED = 949			
Single	28.5%	23.8%	20%
Divorced/Separated	15.8%	15.3%	15.5%
Widowed/Widower	6.8%	5.6%	4.8%

Figure 2.

Financial behaviors in 2012 by group based on financial literacy score changes (2012 vs. 2018)



Results

- Financial literacy score declines more between 2012 - 2018 among those 65+ than younger individuals
- People with declining scores were more likely to be racial minorities, have less educational background, and have lower income
- People with declining scores or who dropped between the two waves of data were more likely to participate in the following behaviors over the past year:
  - Take a payday loan
  - Get a tax refund advance
  - Fail to pay credit cards in full
  - Overuse credit cards

Discussion

Limitations:

- ALP is an online panel with cognitively healthier participants than average
- Sample attrition between 2012 and 2018 poses challenges for full longitudinal analysis
- Only two waves available, NFCS is meant to be fielded every four years
- No detailed investment behavior in ALP surveys
- Limited longitudinal cognition information in ALP

Further Research:

- Study investment behaviors among individuals experiencing cognitive decline

Key Takeaways:

- Older individuals (65+) are more likely to experience a decline in their financial literacy score (validated cognitive measure)
- Individuals with declining financial literacy score are more likely to engage in unfavorable financial behavior that may be leading to wealth decline

References

- Li, Jing, et al. "Dementia and long-run trajectories in household finances". NBER Working Paper No. w34659. National Bureau of Economic Research, 2026
- Trudel, Lydia, et al. "Estimated prevalence of underdiagnosed dementia in a multiethnic community-based study." *The Journal of Prevention of Alzheimer's Disease*, vol. 13, no. 4, Apr. 2026, p. 100510, https://doi.org/10.1016/j.tjpad.2026.100510.
- Lusardi, A. and Mitchell, O.S. (2011) Financial Literacy and Planning: Implications for Retirement Wellbeing (No. w17078). National Bureau of Economic Research. https://doi.org/10.3386/w17078